



Petroleum Production Sharing Contracts: **Legal Aspects**

Mastering the Legal Dynamics of Petroleum Production Sharing Contracts



Petroleum Production Sharing Contracts: Legal Aspects

Petroleum Production Sharing Contracts (PSCs) remain the dominant contractual framework for upstream oil and gas development in many jurisdictions, but their design is evolving rapidly under fiscal reform, energy-transition pressure and heightened ESG expectations. This Production Sharing Contract Masterclass provides an in-depth, practice-driven examination of PSCs, from their historical roots in classic concessions to the sophisticated model contracts used today in offshore and frontier basins.

Through a blend of global case studies, current model PSCs (including recent 2025–2026 offshore and onshore frameworks) and real-world disputes, the course explains how legal, fiscal and operational provisions interact across the full life cycle of an upstream project. Participants will explore how governments and investors are rebalancing state take, cost recovery, gas and LNG value chains, and decommissioning and climate-related obligations in a more complex regulatory environment.



LOCATION

Rio de Janeiro

London

Singapore

LONDON PETRO ACADEMY
Empowering Professionals for a Sustainable Future



COURSE OBJECTIVES

The primary objective of this Production Sharing Contract Masterclass is to provide participants with a comprehensive understanding of the legal, fiscal and operational aspects of Production Sharing Contracts in the oil and gas industry. The course aims to equip attendees with the knowledge to analyse, draft and negotiate PSCs effectively, enabling them to maximise benefits for the State while attracting sustainable investment and development.

By the end of the course, participants will be able to:

- Explain how PSCs have evolved from concessions and service contracts and compare different approaches to government take and state participation.
- Break down and interpret key PSC provisions on contract area, work commitments, cost recovery, profit oil/gas, bonuses, royalties and taxation.
- Identify and manage common areas of dispute related to accounting procedures, audits, domestic market obligations, gas pricing, local content and affiliate dealings.
- Assess how environmental, decommissioning and climate-related regulations are being incorporated into PSCs and how these changes affect risk allocation and stabilisation mechanisms.
- Evaluate political and regulatory risks, compare stabilisation and investment-protection options (including BITs, MITs and the Energy Charter Treaty framework) and develop negotiation strategies for new PSCs and renegotiations.
- Apply lessons from contemporary PSC case studies in emerging markets to upcoming bid rounds, fiscal reforms and project negotiations in their own jurisdictions.



It is designed for:

- Government Officials and Regulators
- Officials in ministries, regulatory bodies and national oil companies who are involved in designing and implementing petroleum laws, fiscal regimes and licensing rounds, and who need practical tools to structure effective PSC frameworks, maximise state benefits and attract investment.
- Industry Managers and Executives
- Business leaders – including CEOs, CFOs, asset managers and project managers – who make investment and development decisions under PSC regimes and must understand the financial, fiscal and contractual implications for their portfolios.
- Legal and Contractual Professionals
- Lawyers, legal managers and contract administrators seeking a deeper understanding of the legal principles, negotiation techniques and risk-management strategies associated with PSCs, to draft, negotiate and manage contracts more effectively.
- Technical and Support Staff
- Geologists, engineers, economists and other technical experts, along with support staff such as risk and insurance managers, who need to integrate PSC legal and fiscal constraints into project design, planning and execution to reduce contractual risk and improve project outcomes.

Unit One: History, Government Grants, the Rise of Production Sharing and the Role of the State

- Petroleum law around the globe: prescriptive vs negotiated regimes; America vs the rest of the world.
- The rule of capture, ownership and unitisation; host government contracts, service contracts, concession agreements and hybrid agreements.
- Evolution of government take and recent fiscal and licensing reforms, including new model PSCs in offshore and frontier areas.
- The PSC in simple terms; nine central elements; framework for analysis.
- Contract area: obligations to reduce and enlarge; government participation types and challenges; lessons learned from around the globe.

Unit Two: Timing, Controlling Decision-Making, Natural Gas Issues – What to Watch

- Phases of the PSC: exploration, appraisal, development and production; work commitments and timelines.
- Extension rights, relinquishment and negotiation of new terms; decision-making and the role of the State, including deeming provisions.
- Natural gas issues: associated and non-associated gas; UN recommendations and best practices.
- Domestic market obligation risks; government assistance in permitting, security and infrastructure; local content and procurement policies; corruption risks.

Unit Three: Fiscal Terms, Evolution Over Time, Taxation, Cost Recovery and Audit Disputes

- Fiscal terms in the PSC and their evolution in response to competition and energy-transition policies.
- Signature bonuses, production bonuses, royalties, cost recovery limits, profit-oil/gas sharing and interaction with host-country taxation.
- Areas of dispute: the accounting procedure; definition of recoverable costs; affiliate transactions and good oilfield practice.
- Types of audit disputes and practical approaches to drafting, documentation and oversight to minimise conflict.
- Clarification of terms and side letters; lessons learned from around the globe.

Unit Four: Resolution and Stabilisation

- Incorporation of new environmental regulations and decommissioning practices into PSCs; understanding decommissioning plans and checklists.
- Assignments and change of control; force majeure; key drafting considerations for long-term PSC relationships.
- Disputes and stabilisation: the obsolescing bargain; identifying political risk and regulatory change drivers.
- Stabilisation approaches (freezing, economic equilibrium, hybrid models) and their interaction with domestic law reforms.
- Investment protection: BITs and MITs, the Energy Charter Treaty framework, governing law and choice of law, limits of liability; lessons learned from recent cases.

Unit Five: A Closer Look at Myanmar, Senegal, Vietnam, Kenya and Other Case Studies

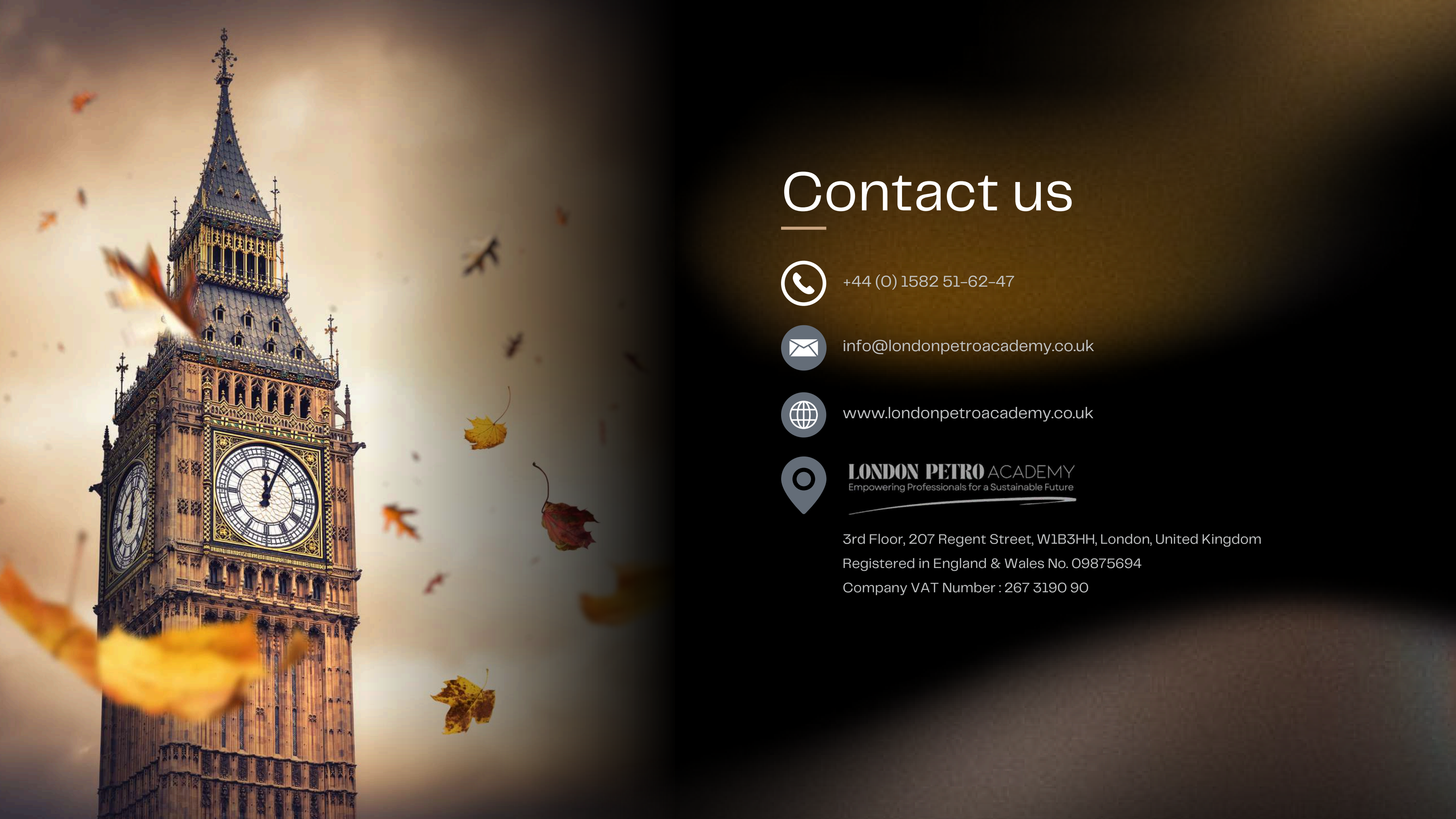
- Case studies from emerging markets: Vietnam and Kenya; Myanmar and Senegal.
- History, model PSC periods, guarantee obligations, state participation structures, domestic market obligation risk, applicable law and dispute-resolution choices.
- Updates from recent licensing rounds and PSC reforms in Africa and Asia, including offshore and frontier projects.
- Recent legal precedents and dispute trends (through 2026) and their implications for contract design and renegotiation.

In-house option

This course is also available in an in-house format, allowing organisations to tailor the content to their specific PSC models, jurisdictions and project portfolios. We can customise the training to address your team's unique challenges and objectives – from upcoming bid rounds to renegotiation of existing contracts – and deliver it at your offices or any location of your choice.

To discuss an in-house session or upcoming public dates, please contact us:

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Registered in England & Wales No. 09875694

Company VAT Number : 267 3190 90